

US seizes Iranian cargo ship, Tehran vows to retaliate

By Daphne Psaledakis, Trevor Hunnicutt and Saad Sayeed

April 19, 2026 2:01 AM GMT+1 Updated April 20, 2026

WASHINGTON/ISLAMABAD, April 19 (Reuters) - The United States said on Sunday that it had seized an Iranian cargo ship that tried to run its blockade and Iran said it would retaliate, raising the possibility that the ceasefire between the two countries might not last for even the two days it is set to remain in force.

Efforts to build a more lasting peace in the region likewise appeared to be on shaky ground, as Iran said it would not participate in a second round of negotiations that the U.S. had hoped to kick off before the ceasefire expires on Tuesday.

The Reuters Iran Briefing newsletter keeps you informed with the latest developments and analysis of the Iran war. Sign up [here](#).

Advertisement · Scroll to continue

A weeks-long blockade of shipping that has driven global oil prices higher likewise might remain in place.

The United States has maintained a blockade of Iranian ports, while Iran has lifted and then reimposed its own blockade on marine traffic passing through the Strait of Hormuz, which typically handles roughly one-fifth of the world's oil supply.

The U.S. military said Sunday it had fired on an Iranian-flagged cargo ship as the vessel sailed toward Iran's Bandar Abbas port. "We have full custody of their ship, and are seeing what's on board!" President Trump wrote on social media.

Iran's military said the ship had been traveling from China. "We warn that the armed forces of the Islamic Republic of Iran will soon respond and retaliate against this armed piracy by the U.S. military," a military spokesperson said, according to state media.

Advertisement · Scroll to continue

Iranian state media also reported that Tehran had rejected new peace talks, citing the ongoing blockade, threatening rhetoric, and Washington's shifting positions and "excessive demands."

"One cannot restrict Iran's oil exports while expecting free security for others. The choice is clear: either a free oil market for all, or the risk of significant costs for everyone," Iran's First Vice President Mohammadreza Aref wrote on social media.

Trump had earlier warned Iran that the United States would destroy every bridge and power plant in Iran if Tehran rejected his terms, continuing a pattern of such threats throughout the war.

Iran has said that if the United States were to attack its civilian infrastructure it would hit power stations and desalination plants of Gulf Arab neighbours.

Brent crude futures jumped about 7% to \$96.85 a barrel and S&P 500 futures fell about 0.9% in early Asian trading, as investors dealt with conflicting messages about the war.

Item 1 of 3 A satellite image shows the ship movement at the Strait of Hormuz on April 17, 2026, in Space. EUROPEAN UNION/COPERNICUS SENTINEL-2/Handout via REUTERS/File Photo

[1/3]A satellite image shows the ship movement at the Strait of Hormuz on April 17, 2026, in Space. EUROPEAN UNION/COPERNICUS SENTINEL-2/Handout via REUTERS/File Photo [Purchase Licensing Rights, opens new tab](#)

PREPARING FOR TALKS THAT MIGHT NOT HAPPEN

Trump said his envoys would arrive in Islamabad on Monday evening, one day before a two-week ceasefire ends.

A White House official had said the U.S. delegation would be headed by Vice President JD Vance, who led the war's first peace talks a week ago, and also include Trump's envoy Steve Witkoff and son-in-law [Jared Kushner](#). Trump had separately told ABC News and MS Now that Vance would not go.

Pakistan, which has served as the main mediator, appeared to be preparing for the talks. Two giant U.S. C-17 cargo planes landed at an air base on Sunday afternoon, carrying security equipment and vehicles in preparation for the U.S. delegation's arrival, two Pakistani security sources said.

Municipal authorities in the capital city of Islamabad halted public transport and heavy-goods traffic through the city. Barbed wire was rolled out near the Serena Hotel, where last week's talks were held. The hotel told all guests to leave.

The apparent diplomatic setback could set the stage for a renewed surge in oil prices when markets reopen after the weekend.

Now in its eighth week, the war has created the most severe shock to global energy supplies in history, sending oil prices surging because of the de facto closure of the strait.

Thousands of people have been killed by U.S.-Israeli strikes on Iran and in an Israeli invasion of Lebanon conducted in parallel since the war began on February 28. Iran responded to the attacks with missiles and drones against its Arab neighbours that host U.S. bases.

Iran's parliament speaker, Mohammad Baqer Qalibaf, who has led Iran's side in the talks, had earlier said the two sides had made progress but were still far apart on nuclear issues and the [strait](#).

[European allies](#), repeatedly criticized by Trump for not aiding his war effort, worry that Washington's negotiating team is pushing for a swift, [superficial deal](#) that would require months or years of technically complex follow-on talks.

Iran's semi-official Tasnim news agency reported that two liquefied petroleum gas tankers that attempted to transit the strait were turned back by Iran's armed forces on Saturday. One of the tankers – the Angola-flagged LPG tanker G Summer - later exited the Gulf on a second attempt, according to MarineTraffic vessel tracking data.

Reporting by Reuters bureaus; Writing by Andy Sullivan, Susan Heavey and Peter Graff; Editing by David Goodman, Ethan Smith and Sergio Non